



2 October 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Markets spent the session navigating a familiar mix of shifting geopolitical headlines, evolving central bank expectations and lingering uncertainty ahead of tonight's US nonfarm payrolls report.

Fed Vice Chair Jefferson added to a growing chorus of Fed officials tempering expectations of a back-to-back FOMC rate hike, sparking a rally in Treasuries and seeing markets slash the probability of an October move from around 70% at the start of the week to just 30%.

Risk sentiment was mixed across equity markets, with US shares recovering into the close and Asian bourses posting solid gains, though European markets and the ASX 200 came under renewed selling pressure.

Commodity markets remain sensitive to developments in the Middle East, as reports of oil flows returning towards pre-war levels briefly weighed on prices before renewed conflict concerns lifted Brent above US\$100/bbl.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	64.6	-0.2%
AUD/USD	0.6930	-0.2%
AUD/JPY	109.54	0.2%
AUD/GBP	0.5252	0.3%
AUD/NZD	1.2368	0.3%
AUD/EUR	0.6162	0.6%
AUD/CNH	4.6543	-0.1%
AUD/SGD	0.8872	0.0%
AUD/HKD	5.4372	-0.2%
AUD/CAD	0.9854	-0.3%
EUR/USD	1.1246	-0.8%
USD/JPY	158.08	0.4%
USD Index	102.03	0.6%

Equities	Close	Change
S&P/ASX 200	8,614	-2.0%
S&P 500	7,666	0.2%
Japan Nikkei	68,957	3.3%
Hang Seng	24,613	0.4%
Euro Stoxx 50	6,175	-1.5%
UK FTSE100	10,428	-1.7%
VIX Index	16.39	0.3%

Commodities	Current	Change
CRB Index	412.02	0.4%
Gold	4179.85	0.5%
Copper	14244	-1.2%
Oil (WTI futures)	92.87	2.7%
Coal (coking)	263.00	0.8%
Coal (thermal)	149.40	1.5%
Iron Ore	92.15	-1.0%
ACCU	36.13	-4.3%

Data as at 7:15am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.60	0.01
90 day BBSY	4.81	-0.01
180 day BBSY	5.18	0.01
1 year swap	4.90	-0.01
2 year swap	4.93	-0.01
3 year swap	4.93	-0.01
4 year swap	4.95	-0.02
5 year swap	4.99	-0.01
6 year swap	5.03	-0.03
7 year swap	5.08	-0.03
8 year swap	5.14	-0.03
9 year swap	5.18	-0.03
10 year swap	5.24	-0.02

Government Bond Yields	Close	Change
Australia		
3 year bond	4.97	0.05
10 year bond	5.40	0.05
United States		
3-month T Bill	3.98	-0.03
2 year bond	4.79	-0.10
10 year bond	5.24	-0.04
Other (10 year yields)		
Germany	3.51	-0.08
Japan	3.13	0.06
UK	5.40	-0.03

Sydney Futures Exchange	Current	Change
10 yr bond	5.39	-0.03
3 yr bond	4.94	-0.05
3 mth bill rate	4.63	0.00
SPI 200	8,678	0.5%



Ryan Wells
Economist, Westpac Group
P: +61 401 423 628
E: ryan.wells@westpac.com.au

Financial Markets

- Share markets were mixed globally. In the US, risk sentiment started to recover in late NY trading, seeing the S&P 500 rise 0.2% while other major indices (Dow Jones, NASDAQ) were broadly steady. Across the pond, however, the Euro Stoxx 50 and FTSE 100 closed 1.5% and 1.7% lower respectively, capturing the brunt of the weakness in risk sentiment in trading overnight.
- Asian share markets traded a more constructive tone yesterday, following earlier momentum from the US. Most notably, Tokyo extended its rebound with another large gain owing to chipmakers (+3.3%) and Seoul bounced higher (+2.0%). Chinese markets were closed. The ASX 200 disappointed with a 2.0% decline, with all sectors in the red.
- Treasuries rallied following comments from the Fed Vice Chair Williams which downplayed expectations of a back-to-back rate hike from the FOMC. The resulting bull steepening, with 2-year yields down 10bps and 10-year yields down 4bps, continues to see the 2-10 spread widen sharply. Markets are now pricing in just a 30% chance of an October rate hike, compared to 70% at the start of the week.
- Yields also fell across Europe and the UK, with the 10Y Bund and Gilt down 8bps and 3bps respectively. ACGBs meanwhile sold off during local trading, though the move looks to have largely unwound in futures trading overnight. Swaps markets continue to see at least one more rate hike from the RBA, though it is fully priced in for early 2027.
- The USD continued rally overnight, the DXY index finishing 0.6% higher and grabbing a foothold around the 102 level. A sharp pull-back in the Euro was particularly eye-catching, strong selling pressure driving it down 0.8% to the mid USD1.12 range, the weakest since May 2025. The Sterling and Yen also both weakened against the greenback, down 0.5% and 0.4% respectively. The Aussie dollar was a bit more contained overnight given the extended pull-back so far this week, edging another 0.2% lower to USD0.6930.
- Crude oil markets were much more lively yesterday. Prices dropped sharply during Asian trading, on reports that flows of crude oil (including estimates so-called 'dark' transit through the Strait) are very close to pre-war levels. However, that optimism quickly faded, with concerns about active conflict being revived following reports that the US is sending a third aircraft carrier strike group to the region. Brent rose 4.9% to \$102.8/bbl.
- Base metals retreated against the backdrop of higher oil prices and a firmer USD, with LME copper down 1.2% to around US\$14,244/mt, the lowest level since mid-September. Gold prices meanwhile rose 0.5% to around US\$4,180/oz, buoyed by a lift in real yields.

Today's key data and events

Time	Event	Exp	Prev
7:00	NZ ANZ Consumer Confidence Sep	-	98pts
9:30	JP Tokyo Sep	2.5%	1.9%
9:30	JP Job-to-Applicant Aug	120.0%	120.0%
19:00	EZ HICP Sep Prel.	3.7%	3.2%
22:30	US Nonfarm Payrolls Sep	90k	162k
22:30	US Average Hourly Earnings Sep	0.3%	0.3%
22:30	US Unemployment Rate Sep	4.1%	4.1%
0:00	US Factory Orders Aug	0.1%	0.9%
0:00	US Durable Goods Orders Aug Final	0.0%	0.0%

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

In the US, the **ISM Manufacturing PMI** was consistent with ongoing expansion in the sector, the index broadly stable at 54.5 in September. The detail suggests demand remains robust, with new orders and order backlogs increasing in the month. However, the gauge tracking input prices rose to its highest since May all while supplier delivery times have continued to increase, suggesting supply chain stresses remain a key concern. Manufacturers are also growing headcount. This is consistent with an ongoing low level of **initial jobless claims** which held at 197k last week.

Overnight, the **FOMC's Jefferson** played down the risk of a back-to-back rate hike, stating "any future adjustments in policy should be determined by carefully examining trends in the data, the evolving outlook, and balance of risks" and that he and his colleagues "will need to come to our own judgement, which may take more time". Similarly, the **FOMC's Bowman** stated that she does not currently see "an urgent need for further action".

In Europe, the **unemployment rate** held steady at 6.4% in August, only slightly above its historic low of 6.2% in 2024, indicating a solid labour market.

Local Data

In Australia, the **goods trade surplus** narrowed from \$1.4bn to \$0.5bn in August, driven by another surge in imports for data centre-related equipment, amid ongoing volatility in gold trade (see [here](#)). Meanwhile, **Cotality dwelling prices** fell 1.1% nationwide in September, with the detail suggesting the price correction is both deepening and broadening across markets (see [here](#)).



Corporate Directory

Westpac Economics / Australia

Sydney

Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis

Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan

Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke

Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner

Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk

Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante

Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas

Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells

Economist
E: ryan.wells@westpac.com.au

Illiana Jain

Economist
E: illiana.jain@westpac.com.au

Neha Sharma

Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic

Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland

Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold

Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon

Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs

Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod

Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark

Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva

1 Thomson Street
Suva, Fiji

Shamal Chand

Senior Economist
E: shamal.chand@westpac.com.au



 westpaciq.com.au

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